to trade shares. The 40-Act requires that the prospectus and other reports be regularly filed to the SEC and made publicly available. Reports must be audited, fund holdings have to be reported (quarterly for mutual funds and daily in the case of ETFs), and funds must disclose how they voted their shares in proxy ballots. All this information is largely standardized, so individuals can compare it across funds; some investment advisory companies, like Morningstar, take this information, collate and distribute it, and provide fund recommendations based on the data.

Crucially, the 40-Act ensures that investors know the market value of the fund's investments through the NAV. Mutual fund investors can take comfort that they are always transacting at the fund's underlying value, less any applicable fees.

Mandating Oversight

Mutual funds have boards of directors. At least 40% of these directors must be independent from the fund management company (but whether they act independently is a different story). Since 2003, the SEC has mandated that every fund and advisor must have a chief compliance officer. Funds are monitored by the SEC to ensure compliance.

One of the most important requirements in the 40-Act is that fund assets are held separately from those of the fund's advisors. There are three ways a mutual fund company can provide segregated custody for its investments: through a bank (the most popular option), a broker (rare), or self-custody. In the latter case, there are strict requirements including that the mutual fund assets be *physically separated* from the rest of the assets of the firm.

The 40-Act also limits the types of transactions permitted between the fund, fund management, and affiliates. Before and during the Great Depression, many fund assets were sold at below market prices to the fund's advisors, the fund bought assets at inflated prices from insiders, or the fund made cheap loans to management. The 40-Act prohibits these abuses.

Fiduciary Standard

The 40-Act mandates that registered investment advisors be held to a *fiduciary standard*, which means that they must act in the best interests of their clients. Brokers are not fiduciaries and have a *suitability standard*, which means they don't have to find the best products for you, only products that are "suitable." That's right: most brokers and advisors that sell mutual funds do not have to put clients first. Even if the advisor is a registered investment advisor, the fiduciary standard does not eliminate the principal-agent problem, as chapter 15 emphasizes.

Limiting Leverage

Section 13(a) of the original 40-Act states: "No registered investment company shall, unless authorized by the vote of a majority of its outstanding Voting Securities, borrow money." Today leverage is permitted, but the SEC restricts its